ANZ boss: 'dangerous' markets, but no recession for Australia

> ANZ chief executive Nuno Matos told a parliamentary inquiry that record share prices combined with rising interest rates are a global risk, but he expects Australia to slow rather than shrink.

WHAT HAPPENED

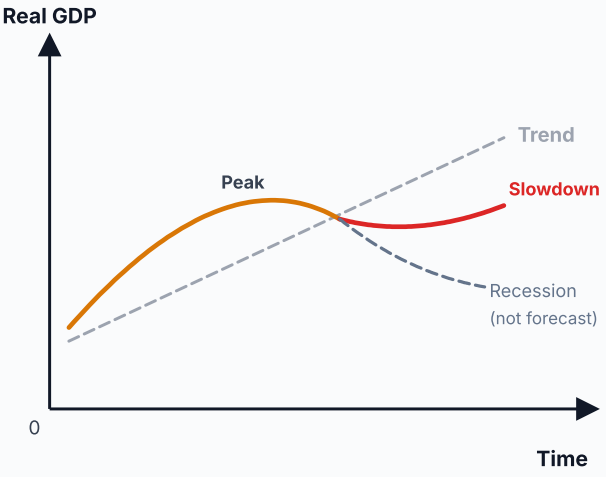
- Matos said share markets and interest rates are both at record highs: a **"dangerous situation"** for the world.
- He expects Australia's economy to **slow noticeably but not contract**, in line with the RBA, which is not forecasting a recession.
- He said a global "AI blip" would be a big problem, though he does not expect one.
- ANZ's full-year cash profit was **$7.59 billion**, up 31%. The cash rate is at an 18-year high of 4.85%.

4.85% RBA cash rate (18-yr high)	**4.3%** Inflation, September
$7.59b ANZ cash profit	**No** Recession forecast (RBA)

KEY TERMS

Recession – A fall in real GDP, commonly two consecutive negative quarters.
Soft landing – Bringing inflation down without causing a recession.

DIAGRAM Slowdown or recession? (illustrative)



Higher interest rates slow household spending, so actual growth falls **below trend**: a **slowdown** (red).

A **recession** (grey dashed) would mean real GDP actually falling. Neither ANZ nor the RBA expects that, but global shocks, such as a share-market fall, could change the outlook.

Exam angle: Use the business cycle to judge whether the RBA can achieve a soft landing: inflation back to 2–3% without a large rise in unemployment.

FLOW CHART Cause and effect

Five rate hikes in 2026 → Household spending slows → Growth falls below trend → Inflation eases: soft landing?

SYLLABUS LINK

Topic 3 – Economic Issues: economic growth: the business cycle, sources of risk to growth (global financial markets) and the growth outlook.

TRY THIS (4 marks)

Distinguish between an economic slowdown and a recession, and explain one risk to Australia's growth outlook.

Sources: ABC News – ANZ boss says global markets in 'dangerous situation': https://www.abc.net.au/news/2026-11-12/anz-boss-says-global-markets-in-dangerous-situation/107377392 · The Nightly – Big bank CEOs plead with Labor to cut spending: https://thenightly.com.au/politics/anz-ceo-nuno-matos-and-westpac-chief-anthony-miller-call-for-government-spending-cuts-c-23151576